

THE ENERGY BRIEF

Monthly Regulatory Updates on
Nigeria's Petroleum, Power, Mining
and Maritime Sectors

AUGUST



PETROLEUM

NUPRC PROJECTS US\$30–50 BILLION INVESTMENT FROM 22 OFFSHORE PROJECTS

The Nigerian Upstream Petroleum Regulatory Commission (NUPRC) disclosed on 5 August 2026 that 22 major offshore projects are expected to come on stream between 2026 and 2030, with an estimated investment potential of US\$30 billion to US\$50 billion. The disclosure was made at the Society of Petroleum Engineers' Nigeria Annual International Conference and Exhibition (NAICE 2026) in Lagos. NUPRC stated that the anticipated investments are expected to increase oil and gas production, create employment and strengthen Nigeria's energy security.

According to the Commission, it has approved more than US\$57 billion in Field Development Plans since 2024, some of which have already translated into Final Investment Decisions. NUPRC also identified infrastructure development as a key factor in unlocking these projects, highlighting efforts to expand gas gathering systems, processing facilities, pipelines and export infrastructure. The Commission said it was promoting shared facilities, open-access arrangements, third-party access and field tiebacks to reduce development costs and accelerate the monetisation of stranded oil and gas resources.

The announcement provides an indication of the scale of upstream investment that could enter Nigeria over the next four years. It also highlights the increasing importance of infrastructure-sharing and project-tieback arrangements in making offshore developments commercially viable.

NUPRC REPORTS 97.4% COMPLIANCE WITH DOMESTIC CRUDE SUPPLY OBLIGATION

The Nigerian Upstream Petroleum Regulatory Commission (NUPRC) released its Q2 2026 statistics on the enforcement of the Domestic Crude Supply Obligation (DCSO), reporting an overall performance rate of 97.4%. According to the Commission, a total of 53.7 million barrels of crude oil and condensate were supplied to local licensed refineries between April and June 2026. The DCSO is administered pursuant to Section 109 of the Petroleum Industry Act (PIA), which requires domestic crude supply to support Nigeria's refining capacity.

NUPRC explained that the obligation is actively administered on a monthly basis. The Commission meets with crude oil producers and local licensed refineries, following which producers are allocated specific volumes of crude oil and condensate to be offered to domestic refiners. The latest figures represent a significant improvement in compliance compared with earlier periods, with the regulator continuing to monitor the performance of producers and the availability of crude to local refineries.

The development comes at a critical point in Nigeria's refining landscape, as the country seeks to ensure that expanding domestic refining capacity is matched by adequate local crude supply. The 97.4% compliance figure demonstrates substantial progress in implementing the DCSO, although questions around crude pricing, quality, logistics and the ability of refiners to access the allocated volumes remain important to the effectiveness of the framework.

PRESIDENT TINUBU SIGNS DEEP OFFSHORE EXECUTIVE ORDER TO UNLOCK UP TO US\$50 BILLION IN INVESTMENT

The Federal Government approved the Deep Offshore Oil and Gas Projects Incentives (Tax Remission) Order, 2026, as a new regulatory and fiscal framework for offshore oil and gas projects, with the government projecting that the framework could unlock as much as US\$50 billion in investment. The initiative is part of ongoing efforts to stimulate investment in Nigeria's deepwater petroleum sector and encourage the development of offshore projects that have faced delays in reaching final investment decisions.

The Deep Offshore Order is intended to improve the commercial environment for offshore projects by addressing regulatory and fiscal considerations that affect investment decisions. This comes against the backdrop of NUPRC's announcement that 22 major offshore projects are expected to be developed between 2026 and 2030, with an estimated investment potential of between US\$30 billion and US\$50 billion. The Commission has also highlighted the importance of infrastructure, including pipelines, processing facilities, gas-gathering systems and export infrastructure, in bringing these projects to fruition.

The approval of the Deep Offshore Order therefore signals a renewed push to make Nigeria's offshore acreage more commercially attractive and to convert identified petroleum resources into actual investment and production. If successfully implemented, the Order could support new capital inflows, increase future production and strengthen Nigeria's position as an investment destination for deepwater oil and gas projects.

NIGERIA EXCEEDS OPEC QUOTA FOR THIRD CONSECUTIVE MONTH

Nigeria continued its recent improvement in crude oil production, with NUPRC reporting average July production of approximately 1.505 million barrels per day of crude oil, alongside about 0.17 million barrels per day of condensate. Combined production therefore stood at approximately 1.67 million barrels per day, placing Nigeria above its OPEC crude production quota of 1.5 million barrels per day.

The July performance represented the third consecutive month in which Nigeria exceeded its OPEC quota. The improvement follows years of production challenges associated with crude theft, pipeline vandalism, operational disruptions and underinvestment in upstream assets. Increased production has been supported by improvements in security, operational efficiency and the gradual revival of investment in the upstream sector.

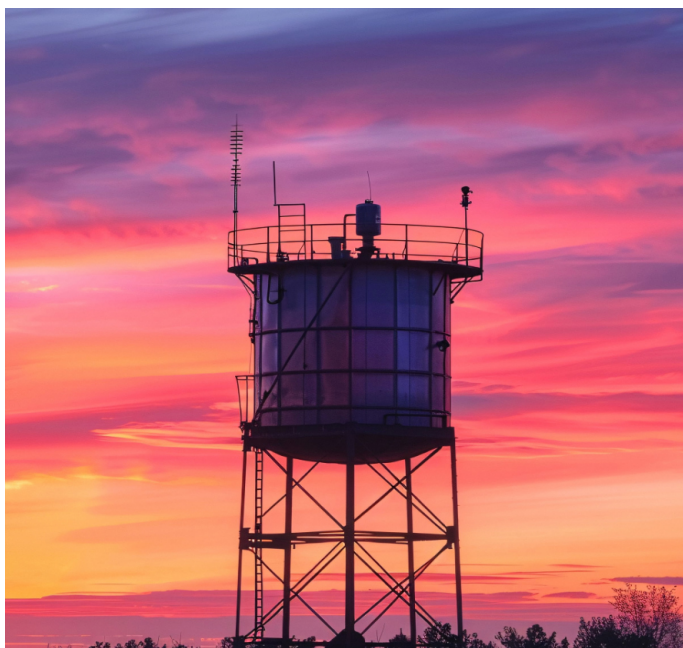
The sustained increase in production is important for Nigeria's export earnings, government revenues and energy security. It also creates additional potential crude volumes that could support domestic refining. However, maintaining the production gains will depend on continued investment, infrastructure development, security of oil-producing assets and a regulatory environment capable of supporting new upstream projects.

NUPRC EXPLORES DOMESTIC CRUDE AND GAS SWAP ARRANGEMENT

The NUPRC disclosed that it is consulting industry stakeholders on the possibility of introducing a domestic crude oil and gas swap arrangement aimed at reducing costs and increasing the availability of petroleum products in Nigeria. NUPRC Chief Executive, Mrs. Oritsemeyiwa Eyesan, disclosed this during a visit to the Nigerian Midstream and Downstream Petroleum Regulatory Authority (NMDPRA) in Abuja on 13 August.

The proposed arrangement is intended to complement the existing Domestic Crude Supply Obligation and Domestic Gas Supply Obligation frameworks. According to NUPRC, once the modalities are finalised, the arrangement could improve compliance with both obligations. The Commission also indicated that the framework would be coordinated with the Gas Aggregation Company Nigeria Limited (GACN). The announcement followed the release of NUPRC's Q2 DCSO statistics showing that 53.7 million barrels of crude and condensate had been supplied to local refiners, representing 97.4% performance for the quarter.

The proposal reflects the regulator's search for mechanisms that can make domestic supply obligations



more efficient and commercially workable. If implemented, a swap arrangement could help address some of the logistical and cost-related difficulties associated with moving crude and gas between producers and domestic users, while strengthening the link between Nigeria's upstream production and its growing domestic refining and gas-processing capacity.

WEST AFRICA REFINED FUEL MARKET CONFERENCE HOLDS IN ABUJA

The West Africa Refined Fuel Market Conference 2026 was held in Abuja from 11 to 12 August, convened by the Nigerian Midstream and Downstream Petroleum Regulatory Authority (NMDPRA) in collaboration with the West Africa Regulators Forum (WARF) and S&P Global Commodity Insights. The conference brought together regulators, industry participants, investors and other stakeholders to discuss the development of a more integrated and transparent regional refined-fuel market.

The conference focused particularly on the financing of infrastructure required to support regional petroleum-product trade, including storage facilities, pipelines, marine terminals and refining capacity. Discussions also centred on developing a credible regional price benchmark that reflects West African market conditions, rather than relying predominantly on external pricing references. NMDPRA has argued that the expansion of refining capacity in Africa makes the development of a regional pricing mechanism increasingly important.

The conference is significant as Nigeria increasingly moves from being a major importer of refined petroleum products towards becoming a potential regional supplier. A transparent regional market, supported by adequate infrastructure and reliable pricing benchmarks, could facilitate cross-border trade, attract investment and strengthen Nigeria's role within the West African petroleum-products market.

NUPRC GIVES 31 OIL-BLOCK WINNERS DEADLINE TO PAY SIGNATURE BONUSES

The NUPRC has given 31 companies that emerged successful bidders for 37 oil and gas blocks in the 2025 Licensing Round a deadline of approximately 60 days to pay their required signature bonuses or risk losing their provisional awards. The warning came one month after NUPRC's commercial bid conference, where the successful bidders were announced.

The Commission said the compliance phase had commenced following the issuance of provisional award letters. Successful bidders are required to meet the financial obligations attached to their awards, including signature bonuses, first-year rents, guarantees and other

post-award requirements. Reports indicate that signature bonuses for the awarded blocks range from approximately US\$3 million to US\$7 million per block. Companies that fail to meet the stipulated requirements risk forfeiting their bid guarantees, with the provisional awards potentially passing to reserve bidders.

The development marks the movement of the 2025 Licensing Round from bid selection into actual award compliance and investment commitment. It is particularly important because the licensing round is intended to attract new capital and revive exploration and production activity. The willingness of the regulator to enforce post-award payment requirements also signals that winning a block does not by itself guarantee retention of the award; successful bidders must satisfy the financial and regulatory conditions attached to it.



POWER

NERC ISSUES AUGUST 2026 MONTHLY ENERGY CAPS

The Nigerian Electricity Regulatory Commission (NERC) issued the August 2026 Monthly Energy Caps for Nigeria's electricity distribution companies. The Commission published separate energy-cap documents covering distribution companies including YEDC, PHED, KEDCO, KAEDC, JED, IE, IBEDC, EKEDP, EEDC, BEDC and AEDC.

The monthly energy caps form part of NERC's continuing regulation and monitoring of the Nigerian Electricity Supply Industry. They provide a framework for the amount of energy allocated to the various distribution companies during the relevant month and form part of the Commission's wider efforts to monitor market performance and the relationship between electricity generation, transmission and distribution.

The August publication illustrates the continuing role of NERC in managing and monitoring the electricity market during Nigeria's transition towards a more decentralised and increasingly performance-driven electricity sector. For DisCos and other market participants, the monthly caps remain an important regulatory instrument for planning and market operations.

NERC HOLDS SOUTH-EAST WORKSHOP ON POWER INFRASTRUCTURE VANDALISM

NERC, in collaboration with the Nigerian Energy Support Programme (NESP) of Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH, held a South-East Regional Sensitisation Workshop on curbing vandalism of power infrastructure in the Nigerian Electricity Supply Industry. The workshop took place in Umuahia, Abia State, on 4 August and brought together

stakeholders from across the electricity sector.

The discussions focused on developing sustainable strategies for addressing the persistent vandalism of electricity infrastructure and improving the reliability and sustainability of power supply. Particular emphasis was placed on collaboration among electricity-sector operators, security agencies, traditional institutions and host communities.

The workshop highlights the fact that electricity-sector reliability is affected not only by generation and distribution capacity but also by the protection of existing infrastructure. Coordinated intervention among regulators, operators, security agencies and communities is therefore increasingly important to reducing outages, protecting infrastructure investment and improving electricity service delivery.

NERC RECEIVES SIERRA LEONE DELEGATION FOR ELECTRICITY-SECTOR KNOWLEDGE EXCHANGE

NERC received a delegation from the Rural Electrification Agency and Ministry of Energy of Sierra Leone under a Country-to-Country Knowledge Exchange Programme. The visit was aimed at strengthening institutional collaboration and sharing experiences in electricity-sector regulation and rural electrification.

During the engagement, NERC highlighted developments within Nigeria's electricity market, including the growth of installed generation capacity to more than 14,000 MW and the Commission's work on renewable-energy deployment. Particular attention was given to Nigeria's updated Mini Grid Regulations 2026, which NERC identified as a regulatory model that could provide useful lessons for Sierra Leone.

The engagement demonstrates the growing relevance of regulatory cooperation among African electricity institutions as countries undertake market reforms and seek to expand electricity access. It also highlights the increasing importance of regulatory frameworks for mini-grids and distributed renewable energy as complements to traditional grid infrastructure.

REA SECURES ₦50 BILLION FINANCING PARTNERSHIP; ADDITIONAL US\$119 MILLION JICA FUNDING EXPECTED FOR MINI-GRIDS

The Rural Electrification Agency (REA) entered into a ₦50 billion project-financing partnership with Alpha Morgan Bank to accelerate the deployment of renewable-energy projects and expand electricity access in unserved and underserved communities across Nigeria. Under the arrangement, eligible renewable-energy developers participating in REA-led programmes, including the Distributed Access through Renewable Energy Scale-up (DARES) Project, will be able to access financing to execute projects before receiving performance-based catalytic grants.

The financing structure is designed to address one of the major challenges facing renewable-energy developers: the need for significant upfront capital before government grants tied to project performance can be accessed. Alpha Morgan Bank is expected to provide financing and financial advisory support, while REA will facilitate project approvals, grant agreements and verification. The facility can provide up to ₦10 billion per eligible developer, with proposed tenures of 12–24 months and counterpart financing of up to 70% for qualifying projects. REA Managing Director Abba Aliyu also disclosed that an additional US\$119 million in financing from the Japan International Cooperation Agency (JICA) is expected to support interconnected and isolated mini-grid projects.

The financing arrangements are significant because access to capital remains a major constraint on the pace of renewable-energy deployment in Nigeria. By combining domestic bank financing with development-finance support, the initiative could accelerate the delivery of mini-grids and other distributed-energy projects and expand electricity access in communities that remain poorly served by the national grid.

NERC INTERVENES IN KADUNA DISCO, CONSTITUTES INTERIM BOARD FOR 12-MONTH TURNAROUND

NERC commenced regulatory intervention in Kaduna Electricity Distribution Plc (KAEDC) on 10 August 2026, dissolving the company's Board of Directors through an Interim Order issued pursuant to sections 75–79 of the Electricity Act 2023. The intervention followed concerns over the company's financial condition and repeated failures to meet market obligations and prescribed performance requirements. NERC disclosed that KAEDC had accumulated more than ₦118.6 billion in additional market debt under ASI Engineering Limited by May 2026.

The intervention subsequently developed into a structured turnaround programme. On 18 August, NERC tasked the newly constituted Interim Board of Special Directors with implementing immediate measures to reset the utility and restore it to a sustainable growth trajectory within 12 months. On 19 August, the Commission formally inaugurated the Interim Board pursuant to the Intervention Order.

The sequence of regulatory actions represents a significant exercise of NERC's statutory intervention powers and illustrates the regulator's increasingly active approach to addressing persistent financial and operational weaknesses within the distribution segment. The success of the 12-month turnaround programme will be important not only for KAEDC but also for demonstrating whether regulatory intervention can restore financially distressed DisCos to sustainable operations.



NERC TRANSFERS REGULATORY OVERSIGHT TO AKWA IBOM STATE ELECTRICITY REGULATORY COMMISSION

NERC issued a Transfer Order transferring regulatory oversight of Akwa Ibom State's electricity market to the Akwa Ibom State Electricity Regulatory Commission (AKSERC). The Order forms part of the continuing decentralisation of Nigeria's electricity market following the Electricity Act 2023 and the constitutional changes that allow states to establish and operate their own electricity markets within the applicable framework.

The transfer means that regulatory responsibilities for electricity activities within Akwa Ibom will increasingly be exercised at the state level. Reports on the Order indicate that Port Harcourt Electricity Distribution Company (PHEDC) is required to establish a subsidiary to handle electricity supply and distribution within the state, with the subsidiary expected to operate under a licence issued by AKSERC.

The development is significant because it demonstrates the practical implementation of Nigeria's transition towards a multi-tier electricity regulatory structure. As more states assume responsibility for their intrastate electricity markets, coordination between NERC, state regulators, DisCos and other market participants will become increasingly important to avoiding regulatory gaps and ensuring a smooth transition.

TCN MOBILISES OVER US\$1.4 BILLION TO EXPAND AND STRENGTHEN NIGERIA'S NATIONAL GRID

The Transmission Company of Nigeria (TCN) disclosed that it has mobilised more than US\$1.4 billion in loans and grants from multilateral and development-finance partners over the past 12 months to rehabilitate and expand Nigeria's national electricity transmission network. The financing has been secured through partnerships with institutions including the World Bank, African Development Bank (AfDB), Japan International Cooperation Agency (JICA) and Agence Française de Développement (AFD). TCN made the disclosure during a media workshop for power correspondents held in Keffi, Nasarawa State.

The investment has supported the deployment and commissioning of 89 power transformers across the country, adding more than 8,500 MVA of transformation capacity to the transmission network. TCN reported that its transmission wheeling capacity has increased to approximately 8,700 MW, with additional transformer and transmission infrastructure deployed at strategic locations including Katampe, Lekki, Ikeja West and Akangba. The company, however, clarified that the full 8,700 MW capacity has not yet been physically tested, although it has been simulated and is considered available where distribution companies are able to take the additional load.

The development is vital because it addresses one of the critical infrastructure constraints within Nigeria's electricity value chain: the ability to reliably transmit available generation to distribution companies and ultimately consumers. Increased transmission capacity could support greater electricity evacuation, reduce bottlenecks and improve grid resilience, but TCN's disclosure also highlights that expanded transmission infrastructure alone will not resolve Nigeria's power challenges. The capacity must be matched by adequate generation, distribution capacity, market liquidity and the willingness and ability of DisCos to take available electricity.

NERC ISSUES 194 ELECTRICITY LICENCES AND PERMITS AS MINI-GRID AND METERING ACTIVITY SURGES

The Nigerian Electricity Regulatory Commission (NERC) issued 194 licences, permits and certifications across Nigeria's electricity market in 2025, representing a 15.5% increase from the 168 approvals recorded in 2024. The figures were disclosed in NERC's 2025 Annual Report and cover activities across electricity generation, distribution, trading, mini-grids and metering. The increase points to continued expansion in both conventional and decentralised segments of Nigeria's electricity market.

Mini-grid development and metering accounted for a particularly significant proportion of the approvals. NERC issued 64 mini-grid permits, the highest number within the year, alongside 43 approvals for Meter Service Providers and 30 permits for Meter Asset Providers. Captive power projects received 31 licences, while the Commission also issued seven licences for Independent Electricity Distribution Networks, six off-grid generation licences, five embedded generation licences, six electricity trading licences and two on-grid generation licences. Collectively, mini-grid, captive-power and metering-related approvals accounted for 168 of the 194 approvals issued during the year.

The figures are significant because they provide a regulatory indication of where activity within Nigeria's electricity market is increasingly concentrated. The strong showing by mini-grid and metering approvals suggests growing private-sector participation in decentralised electricity supply and electricity-market infrastructure, alongside continued investment in captive and embedded generation. This development also comes against the backdrop of NERC's Mini-Grid Regulations 2026, indicating a broader regulatory shift towards expanding electricity access through distributed energy solutions while strengthening the systems required to accurately measure and commercialise electricity consumption.



MINING

NIGERIA'S MINING SECTOR RECORDS STRONG REVENUE GROWTH BUT FACES IMPLEMENTATION CHALLENGES

Nigeria's mining sector continued to record increased government attention and revenue growth during 2026 as the Federal Government sought to position solid minerals as a major pillar of economic diversification. The sector has increasingly been presented as an alternative source of government revenue, foreign investment and industrial development, with particular attention being given to critical minerals and the expansion of domestic processing.

At the same time, the sector continues to face challenges in converting policy initiatives into actual production and investment outcomes. Issues surrounding infrastructure, financing, illegal mining, geological data, regulatory enforcement and the development of processing capacity remain relevant to the sector's ability to realise its potential. The government has therefore continued to emphasise stronger governance and the attraction of credible investors.

The combination of revenue growth and implementation challenges illustrates the transitional stage of Nigeria's mining industry. While the sector is receiving increasing investment and policy attention, achieving sustainable growth will require Nigeria to move beyond mineral extraction towards an integrated value chain supported by infrastructure, processing capacity, transparent regulation and long-term investment.

FEDERAL GOVERNMENT RALLIES INVESTORS FOR NIGERIA NOW! GLOBAL INVESTORS EXPO

The Federal Government intensified preparations for the maiden Nigeria NOW! Global Investors Expo 2026, with the Ministry of Solid Minerals Development highlighting the event as a platform for attracting investment into Nigeria's productive sectors. The Expo is scheduled for 19–20 November 2026 at the Bola Ahmed Tinubu International Conference Centre in Abuja.

The initiative is designed to connect global investors with bankable opportunities across sectors including mining, energy, infrastructure and manufacturing. According to the Ministry and event organisers, the Expo will bring together policymakers, financiers, project developers, technology providers and development partners to facilitate investment partnerships and project financing.

For the mining sector, the Expo forms part of the government's wider effort to attract capital into mineral exploration, development, processing and value addition. It also reflects the shift in policy emphasis from simply promoting Nigeria's mineral deposits to presenting commercially viable projects capable of attracting long-term private and institutional investment.

NIGERIA CONTINUES PUSH TO MOVE FROM RAW MINERAL EXPORTS TO LOCAL PROCESSING

The Federal Government reiterated its intention to move Nigeria away from the longstanding practice of exporting minerals in raw form and towards local processing, manufacturing and value addition. The Minister of Solid Minerals Development, Dele Alake, stated that the government's strategy is to transform the mining industry from a predominantly extractive sector into a driver of industrialisation, manufacturing and job creation.

The policy places greater emphasis on developing industries around Nigeria's mineral resources rather than limiting economic activity to the extraction and export of ores. The approach is particularly relevant to minerals such as lithium and other critical minerals, where significant value can be generated through processing and conversion into products used in industrial and energy-transition applications.

The policy shift could have important implications for investors and mining operators, as the commercial and regulatory environment increasingly favours projects capable of incorporating processing and value addition. It also supports the government's broader objective of retaining more economic value within Nigeria and using mineral resources as a foundation for industrial development.



MARITIME & SHIPPING

NIMASA ISSUES MARINE NOTICE ON MERCHANT SHIPPING REGULATIONS

The Nigerian Maritime Administration and Safety Agency (NIMASA) issued a Marine Notice on the Implementation of the Merchant Shipping Regulations on 7 August 2026. The notice forms part of the Agency's regulatory communications to maritime stakeholders and relates to the implementation and compliance requirements applicable under Nigeria's merchant-shipping regulatory framework.

Marine Notices are used by NIMASA to communicate regulatory information and requirements to stakeholders operating within Nigeria's maritime sector. The August notice therefore forms part of the Agency's continuing efforts to ensure that shipowners, operators and other maritime participants are aware of and comply with applicable merchant-shipping requirements.

The development is relevant to the wider objective of strengthening regulatory compliance and maritime safety in Nigeria. Consistent implementation of merchant-shipping rules is also important to Nigeria's efforts to improve the competitiveness of its maritime industry and maintain compliance with international maritime standards.

NIGERIAN SHIPPERS' COUNCIL TRANSITIONS INTO NPERA

Nigeria's port sector entered a new regulatory phase with the formal transition of the Nigerian Shippers' Council into the Nigeria Ports Economic Regulatory Agency (NPERA). The transition followed the enactment of the Nigeria Ports Economic Regulatory Agency Act 2026, establishing

NPERA as the statutory authority responsible for the economic regulation of Nigeria's ports.

The new agency is responsible for the economic regulation of port services and related activities, including tariffs and charges, licensing, service standards, fair competition, commercial dispute resolution, trade facilitation and protection of port users. NPERA's Governing Board has described the reform as an effort to create a more transparent, predictable and competitive port environment.

The transition represents one of the most significant institutional changes in Nigeria's maritime regulatory framework in recent years. It potentially changes how port users, terminal operators, shipping companies and other stakeholders interact with the economic regulator and places greater emphasis on transparent tariffs, competition, service standards and mechanisms for resolving commercial disputes within the port system.

UNITED STATES LIFTS 12-YEAR CONDITION OF ENTRY ON NIGERIAN VESSELS

The United States Coast Guard (USCG) lifted the Condition of Entry (CoE) imposed on vessels arriving in the United States from Nigeria, bringing an end to a restriction that had been in place since 25 June 2014. Under the CoE regime, vessels that had called at designated Nigerian ports within their previous five port calls were subject to additional security measures and enhanced scrutiny before being allowed to enter US waters.

According to NIMASA, the decision followed four comprehensive assessments of Nigeria's maritime

security framework and port facilities conducted by the US Coast Guard between 2024 and 2026. The Nigerian authorities linked the lifting of the restriction to improvements in maritime security and the implementation of the International Ship and Port Facility Security (ISPS) Code.

The removal of the CoE could have commercial implications for Nigerian ports and shipping operators. Vessels calling at Nigerian ports and subsequently travelling to the United States will no longer face the additional security requirements imposed specifically under the restriction, potentially reducing delays, documentation and security-related costs. The development is also expected to strengthen the attractiveness of Nigerian ports to international shipping lines and improve Nigeria's standing within the global maritime industry.

FEDERAL GOVERNMENT REAFFIRMS PLANS TO REVITALISE EASTERN PORTS

The Federal Government reaffirmed its commitment to revitalising Nigeria's Eastern ports, including Onne, Calabar and Port Harcourt, in an effort to reduce the concentration of cargo traffic around Lagos. The Minister of Marine and Blue Economy, Adegboyega Oyetola, made the position known in a keynote address at the League of Maritime Editors' Annual General Meeting and Conference in Lagos.

The Minister said the under-utilisation of the Eastern ports contributes to higher logistics costs and limits supply-chain efficiency. Government plans include continued investment in port modernisation, navigation infrastructure, maritime security, digitalisation and connectivity, with the objective of enabling Lagos and the Eastern ports to operate as complementary gateways for Nigerian trade.

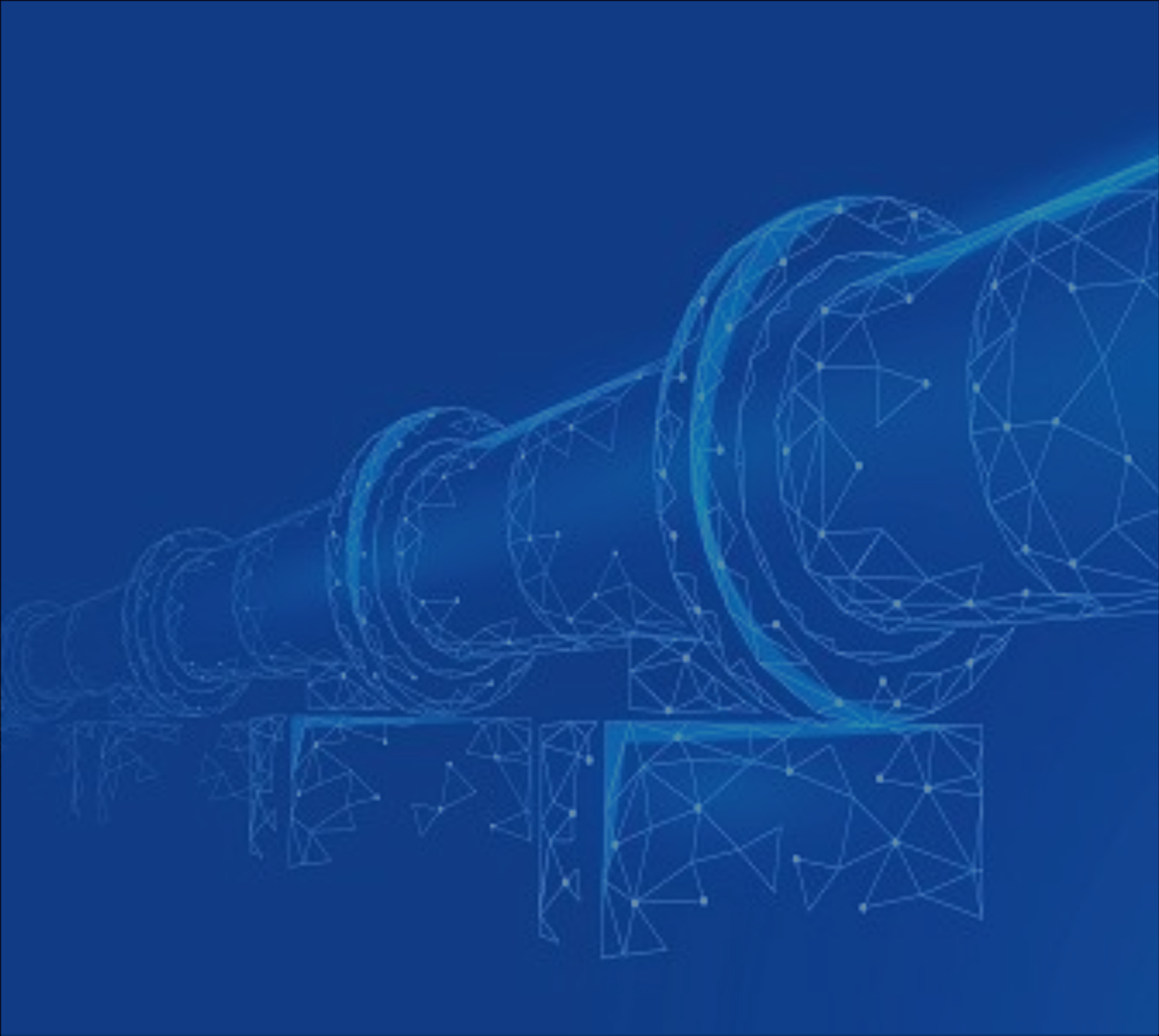
The initiative is significant because Nigeria's port competitiveness is affected not only by the efficiency of individual terminals but also by the geographical distribution of cargo. Greater utilisation of Eastern ports could reduce pressure on Lagos, shorten inland transportation distances for businesses in the eastern and northern corridors and contribute to a more balanced national port system.

NIMASA ANNOUNCES ENHANCED ENFORCEMENT OF CABOTAGE REGULATIONS

The Nigerian Maritime Administration and Safety Agency (NIMASA) announced an enhanced enforcement regime for Nigeria's Cabotage regulations, aimed at strengthening indigenous participation in domestic maritime trade. The announcement was contained in a Marine Notice issued under NIMASA's statutory mandate and referenced the NIMASA Act 2007, the Coastal and Inland Shipping (Cabotage) Act 2003 and the applicable Cabotage Regulations and Guidelines.

Under the enhanced enforcement regime, entities requiring vessels for cabotage operations are expected to use vessels that satisfy applicable requirements relating to Nigerian ownership, registration, manning and construction and that are duly registered in the Special Register for Vessels and Ship Owning Companies Engaged in Cabotage. The measure reinforces the existing legal framework designed to reserve certain domestic maritime activities for Nigerian operators.

The announcement is significant because it signals a renewed emphasis on actual enforcement of indigenous participation requirements, rather than merely maintaining the legal framework on paper. For shipowners, charterers, offshore operators and other participants in Nigeria's coastal and inland shipping market, compliance with the Cabotage regime will therefore require closer attention to vessel eligibility and registration requirements.



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